



ESOP Valuation Advisory Report

ESOP Communication and Legal Guide

Prepared for founders and finance leaders who are planning an ESOP and need to ensure legal compliance while making the equity value clear to employees.

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Important notice: This guide is general guidance based on assessment responses. It is not a valuation report, audit opinion, legal advice, tax advice, investment advice, or employee communication advice. Formal advice requires a separate engagement and review of source documentation. For legal, tax, audit, or corporate secretarial matters, consult the relevant qualified professional.

Your Assessment Summary

Based on your responses, you are planning to set up an ESOP, and your primary concern is navigating legal and tax implications or effectively explaining the value to your team. An ESOP only retains talent if employees understand it. This guide explains how to translate a formal valuation into a credible employee conversation.

Section 01

An ESOP only works if employees understand it.

Setting up an Employee Share Option Plan is a meaningful decision. It tells employees that they are not just being paid for work already done. They are being invited to participate in the value they help create.

That message is powerful, but only when the plan is clear. If employees do not understand what their options are worth, how the strike price was set, or when those options may become liquid, the ESOP becomes an abstract promise. Abstract promises do not retain people.

The valuation is the bridge between legal structure and employee belief. It gives the company a defensible basis for the strike price, a credible explanation for employees, and a cleaner position with auditors, investors, and tax authorities in Singapore.

This guide explains how to communicate ESOP value in plain language, why independent valuation reduces legal and tax friction, and what founders should prepare before using equity as part of their talent strategy.

Section 02

The Communication Gap.

Many founders treat an option grant as self explanatory. They give an employee a grant letter showing 10,000 options at a strike price of \$1.50 and assume the employee understands the value of the offer.

Most employees do not. They may not know what the company is worth today. They may not know how options differ from shares. They may not know what happens if they leave, if the company raises a new round, or if an exit takes longer than expected. To the founder, the grant feels generous. To the employee, it can feel like a math problem with missing variables.

That is where many ESOPs lose their retention value. The problem is not only the legal wording. The problem is that the employee cannot translate the grant into a believable economic outcome.

A formal, independent valuation gives the company a credible baseline. It allows management to explain that the strike price was determined using a recognized valuation process, not an internal guess. It also allows the company to show simple scenarios, such as what the grant could be worth if the company grows from its current share value to a future exit value.

This does not mean promising a future outcome. It means giving employees enough structure to understand the offer. A well communicated ESOP should answer three questions clearly: what do I own, what could it be worth, and what has to happen before I can realize that value?

Section 03

The Legal and Tax Reality in Singapore.

ESOP communication cannot be separated from legal and tax discipline. In Singapore, the strike price of an option must be supportable because it affects financial reporting, employee tax outcomes, and investor diligence.

If options are granted at a discount to fair market value, that discount may have tax implications for the employee when the option is exercised. If the company cannot show how fair market value was determined at the grant date, it may struggle to defend the strike price if challenged later by auditors, investors, or tax authorities.

A founder estimate is not enough. A spreadsheet prepared internally is usually not enough. A cap table system that records the number entered by management is not the same as an independent valuation report.

Important Note

In Singapore, granting options at a discount to Fair Market Value can create taxable employee benefits. A formal valuation acts as your defense against IRAS scrutiny.

Section 04

What Cap Table Software Does Not Solve.

Cap table software is useful, but it does not replace valuation advice. It tracks ownership, option pools, vesting schedules, grant documents, and shareholder movements. Those are administrative functions.

What it does not usually provide is an independent valuation opinion that can be relied on by auditors, boards, investors, and employees. It also does not explain the methodology, test the assumptions, liaise with auditors, or help founders turn a technical valuation into a clear employee conversation.

That advisory gap is where ESOPs often fail. The company may have a clean cap table and a signed plan, but employees still do not understand the value. Auditors may still ask for support. Investors may still question whether option grants were priced correctly. Founders may still be unable to explain why one grant is worth more than another.

A good ESOP valuation process should therefore do more than produce a number. It should create a defensible report, support the audit process, and give management a plain language explanation that can be used with the board and employees.

Section 05

What Good ESOP Communication Should Cover

Employees do not need to understand every technical input in an option pricing model. They do need a clear explanation of the commercial terms that affect their upside. The table below shows the minimum communication layer founders should prepare before presenting an ESOP to employees.

Topic	What Employees Need to Understand
Grant size	How many options they receive and what percentage or economic value that represents today.
Strike price	The price they must pay to exercise the option and how that price was determined.
Vesting schedule	When the options become earned and what happens if they leave before vesting is complete.
Potential value	Illustrative scenarios showing what the grant could be worth at different company values.
Dilution	How future fundraising rounds may reduce percentage ownership while still increasing total economic value.
Liquidity	When and how the employee may eventually convert vested options into cash.
Tax treatment	A high level explanation that tax may arise on exercise or sale and that employees should seek personal tax advice.

Section 06

The Liquidity Question Founders Ask Too Late.

The most overlooked ESOP question is not only what the options are worth today. It is how employees eventually turn that value into cash.

Options are valuable only if there is a credible path to liquidity. In most companies, that path comes from an IPO, acquisition, secondary sale, share buyback, or other structured liquidity event. If employees cannot see how the value becomes real, they will discount the ESOP heavily, even if the valuation is technically correct.

This matters for retention. A founder may think the company has granted a meaningful incentive package. The employee may see a paper instrument with uncertain value, uncertain timing, and no clear exit route. When those two interpretations diverge, the ESOP stops functioning as an alignment tool.

The liquidity question should sit alongside valuation and governance. A stronger ESOP structure does not only answer what the strike price is. It also helps management think through vesting, exercise windows, potential secondary processes, employee communication, and how the plan will remain credible as the company grows.

Section 07

Your Immediate Next Steps.

If you are planning to issue options soon, you must control the communication narrative before rumors set the expectation. Here is what to do.

Step 1

Do not promise specific percentages, strike prices, or future values in offer letters before the valuation work is complete. Informal promises create expectations that are difficult to unwind, especially once a senior candidate has accepted an offer based on equity upside.

Step 2

If you already have an ESOP trust deed, option agreements, board approvals, or a draft cap table, gather those documents before speaking with a valuation advisor. If you have not started the legal drafting yet, that is fine. In many cases, the valuation and commercial structure should inform the legal documents, not the other way around.

Section 08

Ready to make your ESOP defensible?

We will walk through your current ESOP structure, help you translate the valuation into employee-friendly language, and give you a clear picture of what a credible, explainable ESOP looks like.

Book a call with us [here](#).